Exercise

I. Choose the Correct Answer

1. **The basic principle of insurance is _____**

   a) Insurable Interest
   b) Co-Operation
   c) Subrogation
   d) Proximate causa

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2. **_____ is not a type of general insurance**

   a) Marine Insurance
   b) Life Insurance
   c) Fidelity Insurance
   d) Fire Insurance

3. **Which of the following is not a function of insurance?**

   a)Lending Funds
   b) Risk sharing
   c) Capital formation
   d) Protection of life

4. **Which of the following in not applicable in insurance contract?**

   a) Unilateral contract
   b) Conditional contract
   c) Indemnity contract
   d) Inter-personal contract

5. **Which one of the following is a type of marine insurance?**

   a) Money Back Policy
   b) Cargo Insurance
   c) Hull Insurance
   d) both b & c

Answers

1. a 2. b 3. d 4. c 5. d

II. Very Short Answer Questions

1. List any five important types of policies.
2. What is health insurance?

III. Short Answer Questions

1. Define Insurance.
2. Give the meaning of Crop insurance.
3. Write a note on IRDAI.

IV. Long Answer Questions

1. Explain the various types of Insurance. (any 5)
2. Explain the principles of Insurance. (any 5)

Reference

1. Kapoor. N.D. Principles of Commerce,
2. Nael G. Bunni, Risk and Insurance.

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